Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

B.Com DEGREE EXAMINATION APRIL 2021

CM408T – CORPORATE ACCOUNTING - II

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. Define goodwill.
2. What are the factors that influence valuation of share?
3. What is re-issue?
4. What is capital Reduction?
5. What is meant by purchase consideration?
6. What do you mean by absorption?
7. Define Liquidation.
8. Who is preferential creditors?
9. What is Revenue profit?
10. Give three conditions which must be satisfied to become a holding company.

SECTION – B (5X5=25)

Answer any **FIVE** Questions

11. The balance sheet of Norton company as on 31-12-2002.

Liabilities	Rs	Assets	Rs
2000 Equity share of Rs. 10 each	2,00,000	Goodwill	10,000
6% pref. shares of 100 each	50,000	Machinery	1,00,000
Reserve Fund	50,000	Stock	30,000
Profit & Loss a/c	20,000	Debtors	60,000
Debentures	12, 000	Cash	1,00,000
Creditors	8,000	Preliminary expenses	40,000
	3,40,000		3,40,000

Depreciate machinery by Rs. 25,000. Average profit of last five years Rs.15,000. Take goodwill on the basis of 3 years purchase. Calculate the value of equity share.

12. X Ltd. For feited 30 shares of Rs. 10 each fully called up, held by Ram for non payment of allotment Money of Rs.3 per share and first call of Rs.4 per share. He had paid the application money of Rs.3 per share – these shares were re-issued to Raja for Rs. 8 per share. Pass journal entries.

13. The company B takes over, the business of company A. the value agreed for various assets is Goodwill Rs. 22,000. Land and Buildings Rs. 25,000, Plant and machinery Rs. 24,000, Stock Rs.13,000, Debtors Rs.8,000. B company does not take over cash but agree to assume the liability of sundry creditors at Rs.5,000.

    Calculate purchase consideration.

14. The amount due to unsecured creditors is Rs.3,00,000. The amount available for unsecured creditors before charging commission is Rs. 1,03,000.

    3% commission is to be paid on the amount paid to unsecured creditors, calculate the liquidator's remuneration.

15. Balance sheet as on 31st March 2008.

Liabilities	H	S	Assets	H	S
Share capital of Rs.1 fully paid	24,000	10,000	Fixed assets	25,000	15,000
Reserve	10,000	2,000	Current assets	17,000	5,000
P/L A/C	4,000	2,000	Investments:		
			10,000 shares		
Sundry Creditors	17,000	6,000	of S Ltd.	13,000	-
	55,000	20,000		55,000	20,000

    Shares were acquired by H Ltd. On 30th September 2007. S Ltd. Transferred Rs. 1,000 from profits to reserve on 31st March 2008. Prepare the consolidated Balance Sheet.

16. Describe the legal provisions relating to winding up of company.

SECTION – C (3X10=30)

Answer any **THREE** Questions

17. The following is the Balance sheet of Mr Jain as on 30th September, 2008.

Liabilities	Rs.	Assets	Rs.
Capital	1,64,000	Land and Building	36,000
General Reserve	40,000	Plant	54,000
Creditors	38,040	Investments	30,000
		Stock	26,850
		Bank	75,990
		Debtors	19,200
	2,42,040		2,42,040

    The following were the net profit for the year ended:
    30th September 2006 Rs. 32,280
    30th September 2007 Rs. 36,870
    30th September 2008 Rs. 43,350

    The above amounts include Income from investments, Rs. 1,800 each year.

You are required to value the goodwill of the above business at 2 years purchase of the average super profit for 3 years, taking into account the fact that the standard rate of return on capital employed in such type of business is 10%. Assuming that each year's profit is immediately withdrawn in fully by Mr. Jain.

18. Peerless Ltd. had the following Balance Sheet as on 31.12.1995.

Liabilities	Rs.	Assets	Rs.
		Good will	60,000
6% Pref-shares of Rs. 100 each	2,00,000	Fixed Assets	3,00,000
Equity Shares of Rs. 100 each	4,00,000	Stock	1,50,000
Debentures	1,00,000	Debtors	60,000
Sundry Creditors	1,50,000	Discount on Debentures	10,000
		Bank	1,000
		Profit and Loss A/C	2,69,000
	8,50,000		8,50,000

The following reconstruction scheme was approved.

a) Preference shares be reduced to 8% preference shares of Rs. 60 each.
b) Equity shares to be reduced by Rs. 80 each.
c) The amount thus made available to be utilized to write off fictitious assets including goodwill and Rs. 50,000 from fixed assets.

Give entries for the reconstruction and the Balance sheet.

19. X Co. Ltd agreed to acquire the assets excluding cash as on 31st Dec. 2003 of Y co Ltd. The Balance Sheet of y Ltd. As on that date was.

Liabilities	Rs.	Assets	Rs.
		Good will	60,000
Equity capital Shares of Rs. 10 each	3,00,000	Land and Building	1,20,000
General Reserve	80,000	Plant and Machinery	2,00,000
Debentures	50,000	Stock	80,000
Creditors	10,000	Debentures	30,000
P&L a/c	60,000	Cash	10,000
	5,00,000		5,00,000

The consideration was as follows:

a) A cash payment of Rs. 4 for every shares of Y Ltd.
b) The issue of one share of Rs.10 each (Market value Rs. 12.50) in the X company Ltd. for every share in Y co-Ltd.
c) The issue of 1100 debentures of Rs.50 each in X Co. Ltd to enable Y Ltd. to discharge its debenture at a premium of 10%.
d) The expenses of liquidation of Y Ltd, Rs. 4,000 was to be met by themselves.

Give necessary ledger Account in the Books of Y Ltd.

20. M Co. went into voluntary liquidation on 1-3-2001. The following balances are taken from its books on that date.

Liabilities	Rs.	Assets		Rs.
Capital : 50,000		Buildings		1,50,000
Equity shares of Rs. 10 each	5,00,000	Plant & Machinery		2,10,000
Debentures	2,00,000	Stock in Trade		95,000
		Book Debts	75,000	
Bank overt draft	30,000	Less : Provision	10,000	65,000
Creditors	40,000	Calls in Arrears		1,00,000
		Cash		10,000
		P/L a/c		1,40,000
	7,70,000			7,70,000

Plant and machinery and Buildings are valued at Rs.1,50,000 and Rs.1,20,000 respectively. On realization, loss of Rs.15,000 are expected on stock. Book Debts will realize Rs.70,000. Calls in arrears are expected to realise 90%.Bank overdraft is secured against Buildings. Preferential creditors for taxes and ways are Rs.6,000 and miscellaneous expenses outstanding Rs.2,000.

Prepare a statement of Affairs.

21. The Balance sheet of H Ltd. and Ltd as at 31st December, 2008 are as follows.

Liabilities	H Ltd	S Ltd	Assets	H Ltd	S Ltd
Share capital of Rs.10 each	2,00,000	1,00,000	Sundry assets	1,30,000	1,35,000
General Reserve	18,000	20,000	Goodwill	-	20,000
P/L A/C	24,500	23,000	Share in S Ltd		
Creditors	27,500	12,000	At cost	1,40,000	-
	2,70,000	1,55,000		2,70,000	1,55,000

In the case of S Ltd., Profit for the year ended 31st December 2008 is Rs. 12,000 and transfer to reserve is Rs. 5,000. The holding of H Ltd. in S Ltd. is 90% acquired on 30th June 2008.

Draft a consolidated Balance sheet.

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